

CFPB Buy Now, Pay Later (BNPL) Underwriting & Product Structure

Market Analysis, Split-Pay Installment Economics, Soft Credit Pulls & Regulation Z Parity

Standard Setter:	Consumer Financial Protection Bureau (CFPB)
Specification ID:	CFPB-BNPL-2022-01
Classification:	Consumer Credit Market & Structural Architecture Review
Verification:	Integrated in Ariya Sarrafzadeh Production Architecture

1. Structural Topology of Pay-in-4 Models

A merchant-subsidized credit product splitting retail purchases into four equal payments (25% down payment, followed by bi-weekly installments over six weeks), monetized primarily through Merchant Discount Rates (2-8%).

2. Underwriting & Real-Time Decisioning Latency

Utilizes zero-friction proprietary scoring algorithms, soft credit inquiries, and open banking transaction history to render sub-500ms credit limit decisions at checkout.

3. Dark Debt & Multi-Loan Stacking Risks

Addresses systemic credit opacity where borrowers accumulate simultaneous debt across multiple lenders without credit bureau reporting, driving the need for real-time inter-lender data sharing.

4. Dispute Rights Alignment with Credit Cards

Regulatory modernization requiring BNPL lenders to provide dispute investigation and refund rights equivalent to conventional credit card issuers under Regulation Z / Truth in Lending Act.

Systems Verification Notice: This authoritative specification establishes the invariant compliance baseline for production fintech switches, settlement reconciliation engines, and double-entry ledger implementations documented across the portfolio.